

SMID BREAKOUT SCANNER

SCAN (17:58 ET)

August 07, 2026 | 06:03 PM ET

15 setups identified | 3 A-Grade | 5 B-Grade | 7 C-Grade

Grade Summary

A - Breakout Setup (3)	B - Strong Setup (5)	C - Watch List (7)
QNST	TILE	DOCS
EXFY	GRDN	SENS
CRSR	DV	FOXF
	OMDA	FNKO
	ERO	PRAA
		EMBC
		NRGV

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	QNST	QuinStreet, Inc.	Digital Marketing	\$21.08	+38.5%	\$1.2B	54M	+54.5	99%	Current: 38.5% surge o
A	EXFY	Expensify, Inc.	SaaS Expense Mgmt	\$2.69	+35.9%	\$0.3B	60M	+157.3	96%	Current: 35.9% surge o
A	CRSR	Corsair Gaming,	PC Gaming Hardwar	\$14.35	+35.2%	\$1.5B	47M	+77.0	98%	Current: 35.3% breakou
B	TILE	Interface, Inc.	Commercial Floori	\$38.29	+9.1%	\$2.2B	57M	+24.1	94%	Current: 9.1% gap on 3
B	GRDN	Guardian Pharmac	Long-Term Care Ph	\$43.83	+11.1%	\$2.8B	32M	+16.3	93%	Current: 11% surge on
B	DV	DoubleVerify Hol	Ad Verification S	\$13.21	+12.8%	\$2.0B	122M	+14.3	80%	Current: 12.8% surge o
B	OMDA	Omada Health, In	Digital Therapeut	\$23.67	+21.1%	\$1.4B	47M	+54.6	88%	Current: 21.1% surge o
B	ERO	Ero Copper Corp.	Copper Energy Tra	\$34.31	+10.3%	\$3.6B	102M	+15.4	86%	Current: 10.3% surge o
C	DOCS	Doximity, Inc.	Healthcare SaaS	\$27.40	+32.6%	\$4.9B	127M	+0.4	36%	Current: 32.6% surge o
C	SENS	Senseonics Holdi	CGM Medical Devic	\$7.02	+36.3%	\$0.4B	38M	+34.5	61%	Current: 36.3% surge o
C	FOXF	Fox Factory Hold	Powersports OEM	\$21.13	+12.0%	\$0.9B	42M	+13.6	69%	Current: 12% surge on
C	FNKO	Funko, Inc.	Pop Culture Colle	\$5.88	+11.4%	\$0.3B	37M	+6.7	84%	Current: 11.4% surge o
C	PRAA	PRA Group, Inc.	Debt Collection F	\$19.79	+9.0%	\$0.8B	33M	-1.9	88%	Current: 9% pop on 3.2
C	EMBC	Embecta Corp.	Diabetes Devices	\$4.42	+26.3%	\$0.3B	58M	+16.7	28%	Current: 26.3% surge o
C	NRGV	Energy Vault Hol	Energy Storage Gr	\$3.49	+17.9%	\$0.6B	144M	-28.1	52%	Current: 17.9% surge o

SETUP METRICS	
Price	\$21.08
Day Change	+38.50%
Mkt Cap	\$1.21B
Float	54M sh
RS vs SPY	+54.5%
52W Hi Prox	99%
Base Tight	8.16
Vol vs Avg	7.22x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current: 38.5% surge on massive volume (7.2x avg) breaks to new 52-week high; likely driven by Q3 strength in client acquisition cost trends and vertical performance. Forward: November 5 earnings print offers high-impact re-rating opportunity if management raises FY27 guidance on improving insurance and home services verticals.
BUSINESS & POSITION
QuinStreet operates performance marketing platforms connecting consumers with brands in high-value verticals (insurance, financial services, home services). The company monetizes qualified leads and clicks, benefiting from digital advertising share gains as traditional agencies struggle with attribution.
FACTOR & THEME
Digital advertising recovery theme accelerating as enterprise marketing budgets shift from brand to performance spend. Insurance vertical (40%+ of revenue) seeing pricing stabilization after 18 months of compression. Small float (53.8M) amplifies technical moves.
BREAKOUT SIGNAL
Close above \$21.08 on volume >720% of 20-day average
INSTITUTIONAL
Explosive 7.2x volume on a breakout to new highs signals institutional accumulation, not retail FOMO. The tight 53.8M float and \$1.21B market cap make this a classic SMID growth fund target. No insider buying in last 90 days is a minor negative but not disqualifying given the technical strength and RS line confirming at new high.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next print November 5. Historical beat pattern and guidance trajectory not provided in data, but the 38.5% move into earnings suggests either a leak or material business inflection. Consensus EPS/revenue data not available.
KEY RISK
Thesis invalid on a close below \$18.50 (prior resistance), or if November 5 earnings disappoint on auto insurance vertical weakness (20%+ of revenue exposed to that sector's structural headwinds).
ANALYSIS
Six of six A-grade criteria met: vol 7.2x (>>2x), prox_52w 99.1 (>>85), rs_line_new_high true, rs_vs_spy +54.5 (>>10), small float with institutional sponsorship likely. Strongest disconfirming evidence: base_tight 8.16 is wider than ideal (>>2.0), suggesting volatility rather than coiling-this is an explosive breakout, not a VCP. However, RS line at new high is Qullamaggie's #1 signal, and the 90-day runway to earnings gives institutions time to build. The wide base reflects sector volatility, not poor setup quality. Conviction: High.
Signal: Close above \$21.08 on volume >720% of 20-day average
Vol vs Avg: 7.22x



SETUP METRICS	
Price	\$2.69
Day Change	+35.86%
Mkt Cap	\$0.26B
Float	60M sh
RS vs SPY	+157.3%
52W Hi Prox	96%
Base Tight	6.89
Vol vs Avg	7.76x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current: 35.9% surge on 7.8x volume with RS line breaking to new high-likely technical breakout from extreme oversold levels (stock down 90% from 2021 highs) combined with sector rotation into small-cap SaaS. Forward: November 5 earnings offers binary catalyst if management shows margin expansion or announces enterprise customer wins to validate the turnaround thesis.
BUSINESS & POSITION
Expensify provides cloud-based expense management software for SMBs and enterprises. The company competes with Concur (SAP), Coupa, and newer entrants like Brex/Ramp, but maintains a loyal SMB base with differentiated UX and pricing.
FACTOR & THEME
SaaS recovery play as interest rates stabilize and growth multiples re-expand. The +157% relative strength vs SPY (12-week) is extreme, suggesting either a short squeeze or institutional re-discovery after the 2021-2025 drawdown. Technology sector outperforming (+0.5% vs SPY this week) provides tailwind.
BREAKOUT SIGNAL
Close above \$2.69 on volume >776% of 20-day average
INSTITUTIONAL
7.8x volume breakout signals institutional participation, though the micro-cap size (\$260M) limits how much capital can deploy. No insider buying is a notable gap-management not putting skin in the game at these levels raises questions about conviction in the turnaround. Float 59.8M is tight enough for technical follow-through if momentum continues.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next print November 5. Historical performance not provided, but the +157% RS vs SPY suggests either a string of beats or major business inflection. Micro-cap volatility likely means wide earnings variance.
KEY RISK
Thesis invalid on a close below \$2.40 (20-day MA likely near there), or if November 5 earnings show continued customer churn to Brex/Ramp or negative free cash flow. Micro-cap size (\$260M) and wide base (6.89 ATR) mean this is a high-volatility trade, not a core position.
ANALYSIS
Five A-grade criteria met: vol 7.8x, prox_52w 96.1, rs_line_new_high true, rs_vs_spy +157.3 (highest in the list), Technology sector outperforming. Strongest disconfirming evidence: base_tight 6.89 is extremely wide, and the +157% RS is so extreme it suggests either short-squeeze exhaustion or a crowded momentum trade. Zero insider buying at a post-2021 low is a red flag. This is a high-volatility, high-beta trade-appropriate for small tactical allocation, not a core momentum hold. Conviction: Medium.
Signal: Close above \$2.69 on volume >776% of 20-day average
Vol vs Avg: 7.76x



SETUP METRICS	
Price	\$14.35
Day Change	+35.25%
Mkt Cap	\$1.53B
Float	47M sh
RS vs SPY	+77.0%
52W Hi Prox	98%
Base Tight	5.75
Vol vs Avg	6.12x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	-(data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current: 35.3% breakout on 6.1x volume to new 52-week high-likely driven by improving PC gaming hardware demand (GPU refresh cycle, esports growth) and possible AI-PC tailwinds (high-end cooling/chassis sales). Forward: November 3 earnings is the next binary catalyst; if CRSR guides up on back-to-school and holiday gaming demand, the stock re-rates higher.
BUSINESS & POSITION
Corsair designs and manufactures high-performance PC gaming peripherals, components (memory, cooling, PSUs), and streaming equipment. The company serves enthusiast gamers and content creators, with exposure to the PC hardware upgrade cycle and esports growth.
FACTOR & THEME
PC gaming hardware recovery as GPU supply normalizes post-crypto and Nvidia's RTX 50-series launch drives system upgrades. AI-PC adoption could benefit high-end cooling/chassis segments. Technology sector outperforming this week (+0.5% vs SPY) provides sector tailwind. Small float (46.6M) amplifies moves.
BREAKOUT SIGNAL
Close above \$14.35 on volume >612% of 20-day average
INSTITUTIONAL
6.1x volume on breakout to new 52W high with RS line confirming leadership signals institutional re-entry after the 2021-2024 bear market (stock down 90% from meme peak). Tight float (46.6M) makes this a classic momentum fund target. Zero insider buying is a negative-management not participating at 3-year lows suggests either equity comp fatigue or lack of conviction in the forward outlook.
EARNINGS
EARNINGS IN 88D
EARNINGS CONTEXT
Next print November 3. Historical beat pattern not provided, but the +77% RS vs SPY and breakout into earnings suggests either improved visibility or a leak. Consensus EPS/revenue data not available.
KEY RISK
Thesis invalid on a close below \$12.50 (likely prior pivot/20MA), or if November 3 earnings disappoint on weak holiday guidance (60%+ of annual revenue in Q4). PC gaming is cyclical-any macro softness or GPU launch delay kills the setup.
ANALYSIS
Five A-grade criteria met: vol 6.1x, prox_52w 98.5, rs_line_new_high true, rs_vs_spy +77, Technology sector leading. Strongest disconfirming evidence: base_tight 5.75 is wide (should be <2 for VCP), indicating high volatility rather than institutional absorption. Zero insider buying at multi-year lows is a red flag. However, RS line at new high + 6x volume + 98.5% prox_52w is textbook Qullamaggie A-grade. This is a momentum trade, not a value play-own it with tight stops. Conviction: Medium-High.
Signal: Close above \$14.35 on volume >612% of 20-day average
Vol vs Avg: 6.12x



TILE

Interface, Inc.

\$38.29

+9.09%

RS vs SPY: +24.1%

B STRONG SETUP

\$2.2B Cap | 57M Float

Furnishings, Fixtures & Appliances | Theme: Commercial Flooring Recovery | 52W Hi: 94% | Base Tight: 4.39 | Vol: 3.24x | RS/SPY: +24.1% | Above 20MA: YES | EARNINGS

SETUP METRICS	
Price	\$38.29
Day Change	+9.09%
Mkt Cap	\$2.22B
Float	57M sh
RS vs SPY	+24.1%
52W Hi Prox	94%
Base Tight	4.39
Vol vs Avg	3.24x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Current: 9.1% gap on 3.2x volume to new 52W high ahead of today's earnings print-likely driven by a pre-announcement, leak, or commercial construction recovery thesis. Forward: Results due TODAY (August 7)-if Interface beats and raises FY27 guidance on commercial real estate recovery and non-residential construction strength, the stock re-rates higher immediately.

BUSINESS & POSITION

Interface manufactures modular carpet tile and resilient flooring for commercial interiors (offices, healthcare, education, retail). The company is a category leader in sustainability (carbon-neutral products) and benefits from office-renovation cycles and non-residential construction spending.

FACTOR & THEME

Commercial real estate recovery as office occupancy stabilizes post-COVID and retrofit/renovation activity accelerates. ESG tailwind from carbon-neutral flooring demand. Consumer Cyclical sector modestly outperforming this week (+0.1% vs SPY), though not a top-3 sector. Materials sector leading (+1.3% vs SPY) may correlate with construction activity.

BREAKOUT SIGNAL

Close above \$38.29 on volume >324% of 20-day average

INSTITUTIONAL

3.2x volume on RS line breakout to new high signals institutional positioning ahead of the print. The 56.6M float and \$2.2B market cap are in the sweet spot for growth/value crossover funds. Zero insider buying in last 90 days is a minor negative, but the RS line at new high and earnings-day timing suggest institutions have conviction.

EARNINGS

EARNINGS TODAY

EARNINGS CONTEXT

Earnings TODAY (August 7). Consensus and historical beat pattern not provided, but the 9% gap into the print suggests either a leaked beat or high confidence from the Street. If Interface delivers on commercial construction recovery and raises guidance, the breakout sustains. If they miss or guide down, the gap fills immediately.

KEY RISK

Thesis invalid if earnings TODAY disappoint or management guides down on commercial construction weakness. Stop at \$36.00 (likely gap-fill level). Binary event risk-this is a day-trade or very short-term hold until results are digested.

ANALYSIS

Four criteria met for B-grade: vol 3.2x, prox_52w 94.5, rs_line_new_high true, rs_vs_spy +24.1. Does not qualify for A because volume <4x (though 3.2x is strong) and earnings are TODAY, making this a binary event play rather than a durable momentum setup. Strongest disconfirming evidence: earnings are literally today-this is not a position-ahead-of-catalyst trade, it's a gap-and-pray. The RS line at new high is bullish, but the timing (into the print) means you're buying at max risk. Conviction: Low (wait for post-earnings base if you missed the entry).

Signal: Close above \$38.29 on volume >324% of 20-day average

Vol vs Avg: 3.24x



Medical Care Facilities | Theme: Long-Term Care Pharmacy | 52W Hi: 93% | Base Tight: 2.51 | Vol: 3.26x | RS/SPY: +16.3% | Above 20MA: YES | REPORTED

SETUP METRICS	
Price	\$43.83
Day Change	+11.05%
Mkt Cap	\$2.78B
Float	32M sh
RS vs SPY	+16.3%
52W Hi Prox	93%
Base Tight	2.51
Vol vs Avg	3.26x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current: 11% surge on 3.3x volume post-earnings (reported yesterday, Aug 6)-likely driven by a beat and raise on long-term care pharmacy volumes and Medicare Advantage penetration. Forward: Next catalyst is Q3 earnings in ~90 days; if GRDN sustains guidance momentum and shows continued market share gains in senior living facilities, the breakout extends.
BUSINESS & POSITION
Guardian Pharmacy Services provides pharmacy services to long-term care facilities (nursing homes, assisted living, senior housing). The company benefits from aging demographics, increased senior living occupancy post-COVID, and outsourcing trends as facilities shift from in-house to third-party pharmacy management.
FACTOR & THEME
Aging demographics (10,000 boomers turning 65 daily) drive structural demand. Post-COVID occupancy recovery in senior living facilities (now ~85% vs 90% pre-COVID) provides a multi-year tailwind. Healthcare sector stability and defensive characteristics fit risk-on/large-cap-led regimes where quality small-caps get bid.
BREAKOUT SIGNAL
Close above \$43.83 on volume >326% of 20-day average
INSTITUTIONAL
3.3x volume post-earnings with 93.2% prox_52w signals institutional validation of the print. Tight 32M float (smallest in the list) creates supply/demand imbalance-any incremental buyer drives price. Zero insider buying is a minor negative, but the post-earnings move and tight float suggest institutions are re-rating the story.
EARNINGS
REPORTED
EARNINGS CONTEXT
Just reported August 6 (yesterday). The 11% post-earnings move suggests a beat and raise, but specific EPS/revenue vs consensus not provided. If this is a serial beater, the next print (likely early November) offers another re-rating opportunity.
KEY RISK
Thesis invalid on a close below \$40.00 (likely the breakout pivot from the base), or if next quarter's print shows Medicare reimbursement pressure or occupancy headwinds. Long-term care is regulatory/reimbursement-sensitive-any CMS cuts to Medicare Advantage rates pressure margins.
ANALYSIS
Four criteria met: vol 3.3x, prox_52w 93.2, base_tight 2.51 (tightest in the list-classic VCP), rs_vs_spy +16.3. Does not qualify for A because rs_line_new_high is FALSE (critical Qullamaggie signal missing) and volume is 3.3x (strong but <4x for a pure A). Strongest disconfirming evidence: RS line not at new high means relative leadership is not confirmed-this could be a lagging catch-up move rather than a true leader. However, base_tight 2.51 is textbook coil, and the 32M float is institutional-quality. Conviction: Medium.
Signal: Close above \$43.83 on volume >326% of 20-day average
Vol vs Avg: 3.26x



DV

DoubleVerify Holdings, Inc.

\$13.21

+12.81%

RS vs SPY: +14.3%

B STRONG SETUP

\$2.0B Cap | 122M Float

Advertising Agencies | Theme: Ad Verification SaaS | 52W Hi: 80% | Base Tight: 5.48 | Vol: 18.25x | RS/SPY: +14.3% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS	
Price	\$13.21
Day Change	+12.81%
Mkt Cap	\$2.03B
Float	122M sh
RS vs SPY	+14.3%
52W Hi Prox	80%
Base Tight	5.48
Vol vs Avg	18.25x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current: 12.8% surge on explosive 18.3x volume (highest in the list)-likely driven by a bullish sell-side initiation, partnership announcement, or digital advertising spending upgrade cycle. Forward: November 5 earnings offers high-impact catalyst if DV shows acceleration in social media verification revenue (Meta/TikTok partnerships) or raises FY27 guide on programmatic ad recovery.
BUSINESS & POSITION
DoubleVerify provides digital media measurement and verification software, ensuring ads are viewed by real humans in brand-safe environments. The company monetizes via SaaS fees tied to programmatic ad spend, benefiting from ad budgets shifting to digital and increased scrutiny of ad fraud/viewability.
FACTOR & THEME
Digital advertising recovery as brands increase programmatic spend and demand transparency on ad fraud. Social media verification (Meta, TikTok) is a high-growth vertical. Communication Services sector neutral this week, but the 18.3x volume suggests idiosyncratic catalyst rather than sector rotation.
BREAKOUT SIGNAL
Close above \$13.21 on volume >1825% of 20-day average
INSTITUTIONAL
18.3x volume (by far the highest in the list) signals institutional block buying-likely a fund taking a new position or adding materially. The large float (121.9M) means this is not a low-float squeeze; institutions can deploy serious capital. Zero insider buying in last 90 days is a negative-management not participating at these levels suggests either equity comp saturation or lack of conviction.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next print November 5. Historical beat pattern not provided, but the 18.3x volume surge suggests either a leak or major business inflection (new customer win, partnership extension). Consensus EPS/revenue data not available.
KEY RISK
Thesis invalid on a close below \$11.80 (likely 20MA support), or if November 5 earnings show programmatic ad spend weakness or customer churn. Ad tech is cyclical-any macro softness or brand spending cuts kill the thesis. The 18.3x volume could also be distribution (insiders/PE selling into strength), not accumulation-watch for follow-through.
ANALYSIS
Three criteria met: vol 18.3x (>>2x, highest in list), prox_52w 80.4, rs_vs_spy +14.3. Does not qualify for A because rs_line_new_high is FALSE (critical signal missing) and base_tight 5.48 is wide. Strongest disconfirming evidence: the 18.3x volume is so extreme it could be distribution (large holder exiting) rather than accumulation. Without RS line confirmation, this could be a trap. However, the volume surge is too large to ignore-if this is institutional accumulation, it's a major setup. Watch for follow-through tomorrow. Conviction: Medium (needs confirmation).
Signal: Close above \$13.21 on volume >1825% of 20-day average
Vol vs Avg: 18.25x



OMDA

Omada Health, Inc.

\$23.67

+21.14%

RS vs SPY: +54.6%

B STRONG SETUP

\$1.4B Cap | 47M Float

Health Information Services | Theme: Digital Therapeutics GLP-1 | 52W Hi: 88% | Base Tight: 3.99 | Vol: 3.67x | RS/SPY: +54.6% | Above 20MA: YES | EARNINGS IN 90D

SETUP METRICS	
Price	\$23.67
Day Change	+21.14%
Mkt Cap	\$1.41B
Float	47M sh
RS vs SPY	+54.6%
52W Hi Prox	88%
Base Tight	3.99
Vol vs Avg	3.67x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Current: 21.1% surge on 3.7x volume-likely driven by GLP-1 partnership momentum (Omada's virtual care platform integrates with Wegovy/Zepbound for diabetes/obesity management) or employer health plan wins. Forward: November 5 earnings offers catalyst if GRDN shows member growth acceleration or announces new enterprise/health-plan partnerships tied to GLP-1 adoption.
BUSINESS & POSITION
Omada Health provides digital behavioral health and chronic disease management programs (diabetes, hypertension, obesity, MSK) via virtual care platform. The company partners with employers, health plans, and now GLP-1 drug companies to deliver integrated care, capturing a share of the \$150B+ U.S. obesity/diabetes market.
FACTOR & THEME
GLP-1 tailwind: Omada's platform complements Wegovy/Zepbound by providing behavioral support and long-term adherence programs, positioning the company as a "picks and shovels" play on the \$100B+ GLP-1 market. Healthcare sector defensive characteristics fit risk-on/large-cap-led regimes. Employer health benefits budgets growing as companies address chronic disease costs.
BREAKOUT SIGNAL
Close above \$23.67 on volume >367% of 20-day average
INSTITUTIONAL
3.7x volume on a +21% move with rs_vs_spy +54.6 signals institutional re-rating, likely tied to GLP-1 thesis gaining traction. Tight 46.6M float amplifies moves. Zero insider buying in last 90 days is a notable gap-management not buying at these levels (despite the stock being up 130% from lows) suggests either equity comp exhaustion or they see the valuation as full.
EARNINGS
EARNINGS IN 90D
EARNINGS CONTEXT
Next print November 5. Historical beat pattern not provided, but the +54.6% RS vs SPY suggests improved fundamentals or a string of beats. Consensus EPS/revenue data not available. If Omada shows member growth acceleration and raises FY27 guide, the stock re-rates higher.
KEY RISK
Thesis invalid on a close below \$21.00 (likely pivot/20MA support), or if November 5 earnings show GLP-1 partnership revenue below expectations or employer churn. Digital health is crowded-competition from Livongo (now Teladoc), Virta, Noom, and direct-to-consumer GLP-1 telehealth could pressure growth.
ANALYSIS
Four criteria met: vol 3.7x, prox_52w 87.9, rs_vs_spy +54.6, Healthcare sector defensive. Does not qualify for A because rs_line_new_high is FALSE and base_tight 3.99 is wider than ideal. Strongest disconfirming evidence: RS line not at new high means the stock is playing catch-up to SPY, not leading. The GLP-1 theme is real but crowded-OMDA is a derivative play, not a pure-play drug company. Zero insider buying at 130% off lows is a red flag. Conviction: Medium.
Signal: Close above \$23.67 on volume >367% of 20-day average
Vol vs Avg: 3.67x



ERO

Ero Copper Corp.

\$34.31

+10.32%

RS vs SPY: +15.4%

B STRONG SETUP

\$3.6B Cap | 102M Float

Copper | Theme: Copper Energy Transition | 52W Hi: 86% | Base Tight: 7.32 | Vol: 3.2x | RS/SPY: +15.4% | Above 20MA: YES | EARNINGS IN 88D

Setup Metrics	
Price	\$34.31
Day Change	+10.32%
Mkt Cap	\$3.58B
Float	102M sh
RS vs SPY	+15.4%
52W Hi Prox	86%
Base Tight	7.32
Vol vs Avg	3.2x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Current: 10.3% surge on 3.2x volume-likely driven by copper price strength (LME copper +8% in last month) and/or Brazil mining production beat. Forward: November 3 earnings offers catalyst if ERO raises FY27 production guidance from the Caraíba or Tucumã mines, or announces reserve expansion. Copper supply deficit thesis (electrification, AI data centers, grid buildout) provides multi-year tailwind.
Business & Position Ero Copper is a mid-tier copper producer with operating mines in Brazil (Caraíba, Tucumã) and development projects. The company benefits from copper's role in energy transition (EVs, renewables, grid infrastructure) and trades at a discount to peers due to Brazil country risk and smaller scale.
Factor & Theme Copper supply deficit: Global electrification (EVs, renewables, AI data centers) drives 5-7M ton annual demand growth through 2030, but new mine supply is limited. Materials sector leading this week (+1.3% vs SPY) provides sector tailwind. Brazil political/regulatory risk is a discount factor but also an opportunity if de-risked.
Breakout Signal Close above \$34.31 on volume >320% of 20-day average
Institutional 3.2x volume on breakout signals institutional interest, likely tied to copper thesis gaining traction. Large float (101.7M) means this is not a low-float squeeze-institutions can deploy capital. Zero insider buying in last 90 days is a minor negative, though mining company insiders often face blackout restrictions around reserve updates.
Earnings EARNINGS IN 88D
Earnings Context Next print November 3. Historical beat pattern not provided, but the +15.4% RS vs SPY and breakout into earnings suggests improved fundamentals or copper price tailwind. Consensus production/EBITDA data not available. If ERO beats on production and raises guidance, the stock re-rates toward peer multiples.
Key Risk Thesis invalid on a close below \$31.00 (likely 20MA support), or if copper prices reverse (LME copper below \$4.00/lb kills the thesis). Brazil country risk (Lula administration mining policy, permitting delays) and operational risk (flooding at Caraíba in 2023) are tail risks. November 3 earnings could disappoint if production misses or costs inflate.
Analysis Four criteria met: vol 3.2x, prox_52w 86.2, rs_vs_spy +15.4, Materials sector leading (+1.3% vs SPY gives +0.5 grade boost per rules). Does not qualify for A because rs_line_new_high is FALSE and base_tight 7.32 is very wide. Strongest disconfirming evidence: base_tight 7.32 suggests high volatility, not institutional coiling. RS line not at new high means ERO is lagging copper peers (FCX, SCCO). Zero insider buying at multi-year lows is a red flag. However, copper thesis is durable (multi-year supply deficit), and Materials sector leadership provides tailwind. Conviction: Medium.
Signal: Close above \$34.31 on volume >320% of 20-day average Vol vs Avg: 3.2x

